

NAIROBI SECURITIES EXCHANGE PLC

ANNOUNCEMENT OF UNAUDITED GROUP RESULTS

FOR THE SIX MONTHS PERIOD ENDED 30 JUNE 2025

Summary Consolidated Statement of Profit or Loss and Other Comprehensive Income For the	6 Months Ended 30.06.2025 Unaudited Kshs '000	6 Months Ended 30.06.2024 Unaudited Kshs '000	12 Months Ended 31.12.2024 Audited Kshs '000
Transaction levy - Equity	133,859	113,485	253,650
Transactions levy - Bond	153,019	85,999	169,881
Data income	58,212	66,842	101,299
Annual, initial and additional listing fees	33,300	36,876	69,508
Interest income	65,618	71,731	146,960
Broker back office subscriptions	16,399	14,774	33,023
Consultancy income	19,571	21,479	23,200
Dividend from equity investment	7,276	8,506	8,279
Unquoted securities platform fees	1,565	-	1,037
Other income	22,778	9,776	21,564
Total income	511,597	429,468	828,401
Staff costs	101,836	103,571	200,781
Systems maintenance costs	41,437	41,199	82,226
Depreciation and amortisation	19,196	18,528	39,107
Building and office costs	20,221	23,577	39,767
Directors' emoluments	25,928	23,796	50,262
Revaluation loss on property	-	-	20,778
Share of bond levy expense	31,149	18,936	37,487
Other operating expenses	70,167	109,852	202,859
Total expenses	309,934	339,459	673,267
Operating profit before ECL and fair value movements	201,663	90,009	155,134
Provision for expected credit losses and bond mark to market valuation	(5,355)	(9,212)	(1,014)
Share of gain/(loss) of associate	6,599	(790)	8,703
Profit before tax	202,907	80,007	162,823
Tax expense	(51,330)	(25,287)	(46,523)
Profit after tax	151,577	54,720	116,300
Other comprehensive income/(loss)	20,366	(4,078)	15,832
Total comprehensive income	171,943	50,642	132,132
Earnings Per Share (EPS)* - Basic and diluted (Kshs)	0.58	0.21	0.45
Weighted average number of shares in issue	260,896,654	260,634,541	260,634,541
*EPS is calculated by dividing the profit after tax attributable to ordinary shareholders of the parent by the weighted average number of shares in issue during the period.			

Summary Consolidated Statement of Financial Position As at	30.06.2025 Unaudited Kshs '000	30.06.2024 Unaudited Kshs '000	31.12.2024 Audited Kshs '000
Assets			
Property and equipment	395,565	431,979	403,608
Intangible assets	78,602	101,123	89,840
Investment in associate	182,635	165,361	176,036
Financial assets at fair value through other comprehensive income – Quoted equity instruments	168,137	129,043	147,771
Government securities at amortised cost	201,587	201,820	201,813
Financial assets at fair value through profit or loss - Government securities	140,436	78,472	133,096
Cash and bank balances and bank deposits	751,008	624,483	670,445
Other assets	381,600	384,056	328,203
Total assets	2,299,570	2,116,337	2,150,812

Equity and liabilities			
Share capital	1,043,586	1,042,538	1,042,538
Share premium	280,321	279,725	279,725
Revenue reserves	635,696	506,003	567,579
Non controlling interest	6,945	6,884	6,888
Other reserves	91,791	51,515	71,425
Non current liabilities	16,285	14,695	15,033
Other liabilities	224,946	214,977	167,624
Total shareholders' funds and liabilities	2,299,570	2,166,337	2,150,812

Summary Consolidated Statement of Cash Flows For The	6 Months Ended 30.06.2025 Unaudited Kshs '000	6 Months Ended 30.06.2024 Unaudited Kshs '000	12 Months Ended 31.12.2024 Audited Kshs '000
Cash flows from operating activities			
Cash generated from operations	126,233	50,569	109,084
Tax paid	(25,403)	(6,298)	(17,291)
Net cash generated from operating activities	100,830	44,271	91,793
Net cash generated from/ (used in) investing activities	1,518	185,618	(249,391)
Net cash used in financing activities	(79,147)	-	(39,932)
Increase/(decrease) in cash and cash equivalents	23,201	229,889	(197,530)
Cash and cash equivalents at the start of the year	115,521	318,806	318,806
Effect of foreign exchange rate changes	(124)	(11,550)	(5,755)
Cash and cash equivalents at the end of the period	138,598	537,145	115,521

Summary Consolidated Statement of Changes in Equity	Share capital Kshs '000	Share premium Kshs '000	Revaluation & Other reserves Kshs '000	Retained earnings Kshs '000	Non controlling interest Kshs '000	Total Kshs '000
At 1 January 2024	1,041,810	279,489	55,593	492,979	6,860	1,876,731
Profit for the period	-	-	-	54,696	24	54,720
Other comprehensive loss	-	-	(4,078)	-	-	(4,078)
2023 first and final dividend declared in the year	-	-	-	(41,672)	-	(41,672)
Issue of shares to employee share ownership plan	728	236	-	-	-	964
At 30 June 2024	1,042,538	279,725	51,515	506,003	6,884	1,886,665
Profit for the period	-	-	-	61,576	4	61,580
Other comprehensive income	-	-	19,910	-	-	19,910
At 31 December 2024	1,042,538	279,725	71,425	567,579	6,888	1,968,155
Profit for the period	-	-	-	151,520	57	151,577
Other comprehensive income	-	-	20,366	-	-	20,366
2024 first and final dividend declared in the year	-	-	-	(83,403)	-	(83,403)
Issue of shares to employee share ownership plan	1,048	596	-	-	-	1,644
At 30 June 2025	1,043,586	280,321	91,791	635,696	6,945	2,058,339

OPERATING ENVIRONMENT IN 2025

According to the World Bank, Kenya's gross domestic product (GDP) growth is expected to recover to 4.9% in 2025, supported by resilient growth in services, agriculture and improved export performance. The recovery is further underpinned by easing inflation, an accommodative monetary policy environment and a pickup in credit growth that should support household and business incomes, driving private consumption and investments.

During the period under review, the global interest rate environment remained stable. In particular, the U.S. Federal Reserve maintained its benchmark rate steady between 4.25% – 4.5%. Locally, the Central Bank of Kenya (CBK) reduced interest rates three times by a cumulative 150 basis points from 11.25% in January to 9.75% by June 2025. The resulting lower interest rate environment prompted a reallocation of capital, with investors increasingly shifting from fixed-income instruments to equities in search of better returns. This shift contributed to improved liquidity and trading activity on the NSE, signalling renewed investor confidence and growing appetite for listed securities amid a more accommodative monetary policy backdrop.

The Kenya Shilling demonstrated notable stability, buoyed by sufficient foreign exchange reserves, growing export receipts and strong diaspora remittances. The Shilling appreciated by 0.23% against the US Dollar from Kshs.129.53 in June 2024 to Kshs.129.23 in June 2025. This stability reinforced confidence among foreign investors and helped reduce import-driven inflation pressures.

Inflation remained relatively low and within the CBK target range, averaging around 3.6% between January and June 2025. This moderation was largely driven by stable food prices, reduced transport costs, and improved supply chains. The predictable inflation environment enhanced purchasing power and provided businesses with a more stable operating context.

MARKET PERFORMANCE

During the reporting period, the equity and bond markets continued their remarkable performance, sustaining a strong rally as evidenced by the strong performance of key market indicators.

Equity turnover increased by 18% to Kshs. 56 billion up from Kshs. 47 billion recorded over a similar period in 2024 supported by increased market activity as investors reallocated more capital to equities during the period.

Bond turnover soared by 78% to settle at Kshs. 1.3 trillion up from Kshs. 781 billion recorded over similar period last year. The strong performance also marked the first time bond turnover crossed the Kshs. 1 trillion mark over a six months period buoyed by increased activity in the secondary bond market. It equally demonstrates the positive outcomes and reforms undertaken in the bonds market.

The NSE benchmark indices sustained their positive performance in the period under review with the NSE All Share Index, which tracks the performance of all listed companies, surging by 22.41% to close the period at 153.43. The NSE 20 Share Index rose by 18.54% to settle at 2,440.26. Similarly, the NSE 10 Share Index and NSE 25 Share Index gained 14.28% and 13.89%, respectively to close at 1,16.93 points and 3,938.28 points respectively.

In the six months ended 30 June 2025, the Kenyan Equity Market recorded two new listings. The first was the secondary listing of the Satrux MSCI World Equity Feeder ETF which is listed on the Johannesburg Stock Exchange. The secondary listing underscored the growing attractiveness of our Exchange to both investors and issuers. The listing offers our investors a new avenue to deploy capital into a globally recognized product.

The second was the listing of Shri Krishana Overseas Limited, a leading packaging firm on the Small and Medium Enterprises (SME) Market Segment of the NSE. The two equity listings align with our strategy to list new instruments enhancing market depth, liquidity and expanding investment opportunities for local investors.

The period also saw the listing of the first asset backed security on the NSE, the Linzi 003 Infrastructure Asset Backed Security valued at Kshs. 44.9 billion. The listing, which was graced by H.E. President William Ruto, reinforces the positive momentum the market has seen throughout 2025 and lays a solid foundation for the future listing of innovative financial solutions.

Over the review period, the NSE share price recorded a remarkable 50.33% increase, rising from Kshs. 6.00 to close at Kshs. 9.02. This strong performance underscores investors' confidence in the strategic initiatives being implemented by the NSE. We remain firmly committed to driving growth and maximizing shareholder value.

FINANCIAL HIGHLIGHTS

The Group reported an increase in profit after tax of 177% to Kshs. 151.6 million reported in the first half of 2025 as compared to Kshs. 54.7 million reported in the first half of 2024.

This is attributed to an increase in equity transaction levy by 18% from Kshs. 113.4 million in H1 2024 compared to Kshs. 133.8 million in H1 2025 on improved investor sentiment, underpinned by stable macroeconomic indicators and anticipated strong corporate earnings. Additionally, due to the lower interest rate environment, investors redirected capital from fixed income to equities, supporting increased trading activity and higher market valuations. Bond transaction levy also increased by 78% from Kshs. 86 million in H1 2024 compared to Kshs. 153 million in H1 2025 primarily due to an increased frequency of government bond

re-openings in the primary market. This, combined with the prevailing low-interest rate environment, encouraged investors to trade previously issued bonds with higher yields, enhancing activity and liquidity in the secondary market.

Total expenses reduced by 8.7% from Kshs. 339.4 million in H1 2024 to Kshs. 309.9 million in the period under review driven by cost savings initiatives implemented in 2024 as well as the impact of the strengthening of the Kenya shilling on foreign currency dominated expenses.

OUTLOOK – SECOND HALF OF 2025

We enter the second half of 2025 from a position of strength. A stabilizing interest rate environment is set to boost investor confidence, creating favorable conditions for increased activity in both the equity and debt markets. Lower volatility and improved liquidity are expected to unlock stronger capital raising, higher trading volumes, and more robust investment flows.

Looking ahead, the Board is focused on executing the NSE 2025 – 2029 strategy with precision and pace. We are deploying capital into high-impact initiatives, including the rollout of next-generation trading technology to enhance efficiency, expanded marketing and business development to grow our investor and issuer base. In addition, we will invest in designing and launching new products to diversify opportunities, selective strategic investments and acquisitions to reinforce our leadership position.

With these initiatives, the NSE is poised to capture growth, deepen market liquidity, and create sustainable long-term value. The second half of 2025 will be about turning momentum into measurable growth.

DIVIDENDS

The Board of Directors does not recommend an interim dividend for the first half of the year 2025.

By Order of the Board



Frank Lloyd Mwiti
Chief Executive Officer
Nairobi Securities Exchange

27th August 2025

NSE

nairobi
securities
exchange

NSE

INVESTOR ROADSHOW
TO THE UNITED ARAB EMIRATES

Connecting East African companies
to institutional Capital and investors
in the Middle East



Tuesday, 9th September 2025 - Wednesday,
10th September 2025
(one-on-one investor meetings)



Dubai

For more information, kindly email
corporateaffairs@nse.co.ke

